

Expense Reimbursement Business Process

Creating itemized reports, attaching receipts, manager approval, and payment completion

Audience: Employees, managers, finance/HR processors, and auditors

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Document scope

This guide describes the approved HR Agent Sidecar data model and required business process. It distinguishes current Dataverse schema from planned application, automation, and Copilot features.

All names, dates, amounts, and identifiers in examples are fictional and intended for training.

How to use this guide

Use this guide for Expense Reports and Expense Lines from Draft through Paid or final rejection/cancellation.

Item	Guidance
Intended audience	Employees, managers, finance/HR processors, and auditors
System of record	Microsoft Dataverse in the HR Agent Sidecar solution
Naming convention	Business names are shown first; Dataverse logical names appear in parentheses.
Required means	The value must be present before the record can be considered process-ready. Dataverse business-required fields are also enforced by the platform or application.
Status discipline	Use the documented Status Reason transitions. Do not simulate process state with notes, record names, or ad hoc fields.

Privacy and least privilege

HR records can contain personal and financial information. Only enter data needed for the approved process. Do not place medical details, payment-card data, credentials, or unrelated sensitive information in free-text fields.

Business outcome

A reimbursement submission is complete, itemized, supported by appropriate receipts, approved by the correct Manager, and traceable through payment.

Process roles

Role	Responsibility
Employee	Creates the report and lines, attaches receipts, certifies business purpose, and submits.
Manager / Approver	Reviews business purpose, policy compliance, amounts, categories, and evidence; approves or rejects.
Finance/HR processor	Performs downstream reimbursement checks and marks an approved report Paid only after payment confirmation.
Auditor	Reviews immutable evidence and lifecycle history; does not edit

Role	Responsibility
	transactions.

Process A: create the Draft report

1. Search for an existing Draft report for the same business event to avoid duplicates.
2. Create the Expense Report and select the Employee.
3. Enter Report Date and a specific Business Purpose.
4. Leave Total Amount blank or system-calculated until lines are complete.
5. Keep Status Reason as Draft.

Example: report header

Field	Example value
Name	Avery Chen — Customer Design Workshop — July 2026
Employee	Avery Chen
Report Date	July 18, 2026
Business Purpose	Travel and meals for customer design workshop in Seattle
Approver	Blank while Draft
Total Amount	\$0.00 until lines are entered
Status Reason	Draft

Process B: add and validate Expense Lines

1. Create one line per merchant transaction; never combine unrelated transactions.
2. Select the parent Expense Report.
3. Enter Expense Date, Merchant, Expense Category, and Amount.
4. Add a concise Description when the business relevance is not obvious.
5. Attach one readable receipt file when required. Confirm it belongs to that line.
6. Repeat until all transactions are itemized, then reconcile the report total to the sum of lines.

Rich line-item example

Line	Date	Merchant / category	Amount	Receipt / explanation
1 — Airfare	Jul 15	Contoso Air / Travel	\$428.40	PDF receipt attached
2 — Hotel	Jul 15– 17	City Center Hotel / Lodging	\$512.00	Itemized hotel folio attached
3 — Customer dinner	Jul 16	Northwind Bistro / Meals	\$146.75	Receipt attached; attendees listed in Description
4 — Airport transit	Jul 17	Metro Taxi / Travel	\$63.20	Electronic receipt attached
Calculated example total \$428.40 + \$512.00 + \$146.75 + \$63.20 = \$1,150.35. The Expense Report Total Amount must be \$1,150.35 before submission.				

Receipt rules

- Attach the receipt to the matching Expense Line, not to the report name or an unrelated line.
- Use a readable PDF or image according to organizational file policy.
- Do not upload files containing full payment-card numbers, passwords, medical data, or unrelated personal information.
- If a receipt is missing, follow the approved missing-receipt exception process and explain the exception in the line Description.

Process C: submit the report

1. Confirm every required line field is complete and categories are correct.
2. Recalculate/reconcile Total Amount to all lines.
3. Confirm Business Purpose is specific and receipts/exceptions are present.
4. Set Approver to the Employee's current Manager.
5. Set Submitted On and change Status Reason to Submitted.
6. Treat the report and lines as locked for review. Corrections require rejection/return according to policy.

Process D: approve, reject, and pay

7. Approver reviews the header, each line, receipt, total, and policy compliance.
8. If valid, set Decided On and change Status Reason to Approved; add Decision Comment for material exceptions.
9. If invalid, enter a clear Decision Comment and change Status Reason to Rejected. The Employee creates a corrected report or follows the return process.
10. Finance/HR pays only an Approved report.
11. After payment confirmation, change Status Reason from Approved to Paid.

Status Reason	Meaning	Permitted next status
Draft	Employee is assembling header, lines, and receipts.	Submitted or Cancelled
Submitted	Awaiting Manager decision.	Approved, Rejected, or Cancelled
Approved	Authorized for reimbursement.	Paid
Rejected	Not authorized; correction or explanation required.	Terminal; use governed resubmission
Paid	Reimbursement completed.	Terminal
Cancelled	Withdrawn or voided.	Terminal

Exceptions and controls

Scenario	Correct handling
Duplicate transaction	Stop submission; remove/void the duplicate and confirm it is not on another report.
Personal portion on receipt	Claim only the business portion and explain the calculation.
Foreign currency	Use Dataverse currency/approved conversion process; retain exchange evidence as policy requires.
Amount differs from receipt	Explain tax, tip, split, or conversion; unresolved differences must be corrected before approval.
Approver is the claimant	Route through the approved alternate approver; self-approval is prohibited.

Scenario	Correct handling
Report changed after approval	Do not edit silently. Cancel/reverse through the governed process and preserve audit history.